AXIS DIRECT

Result Update
06th February, 2026

Greenply Industries Ltd.
Building Materials

BUY
Target Price
330

Volume-Led Growth & MDF Operating Leverage Drive Earnings

Est. Vs. Actual for Q3FY26: Revenue - INLINE; EBITDA (Adj.) - MISS; PAT - MISS

Changes in Estimates Post Q3FY26 Result

FY26E/FY27E/FY8E: Revenue: -3%/-6%/-6%; **EBITDA:** -13%/-7%/-6%; **PAT :** -35%/-32%/-14%

Recommendation Rationale

- **Improving Growth Visibility:** Greenply delivered 12.5% YoY plywood volume growth in Q3FY26, with segment revenue up 7% YoY to Rs 502 Cr despite a 4.9% YoY realisation dip. Management expects double-digit volume growth in H2 and mid-teens going forward, driven by deeper distribution reach and rising traction in the sweet price point brand 'Ecotech'. Supply-chain fixes have improved dealer servicing, supporting market share gains even in a competitive pricing environment.
- **MDF Expansion & Balance Sheet Comfort:** Greenply approved a Rs 425 Cr (spent over 18 months) second MDF line production in Vadodara with proposed expansion of 700 CBM/day, with Rs 600 Cr revenue potential. The plant is expected to be commissioned by FY28. This new line will enable efficiency gains and mix optimisation between thin and thick MDF, with management targeting 16–18% ROCE. Net debt stood at Rs 528 Cr in Q3FY26, even post-capex, and a net debt/EBITDA is guided below 2x at peak, trending toward ~1x thereafter. Capex is expected to be largely funded via internal accruals.
- **MDF Recovery Driving Earnings Upside:** MDF posted 14.5% YoY volume growth and 12% value growth to Rs 152 Cr in this quarter. Margins for MDF dipped to 10% due to temporary production vs traded volumes, driven by production disruptions, against a normalised 16%+ guidance. With the plant now stabilised and January seeing record output, management expects 20%+ YoY MDF growth in Q4 and margin recovery, creating strong operating leverage as utilisation improves.

Sector Outlook: Positive

Company Outlook & Guidance: Greenply's outlook remains positive, with management guiding sustained double-digit volume growth in both plywood and MDF, and seeing potential for mid-teen growth in plywood. This will be driven by distribution expansion, brand investments, and supply-chain improvements. MDF margins are expected to rebound to ~16%+ as production stabilises, and utilizations rise, supporting stronger operating leverage. Over the medium term, the upcoming 700 CBM/day MDF expansion is aimed at scaling revenues while maintaining disciplined leverage (net debt/Equity at ~0.5-0.6x), positioning the company for healthier profitability.

Current Valuation: 23x FY28E EPS (Earlier 23x FY28E EPS)

Current TP: Rs 330/share (Earlier TP: Rs 385/share)

Valuation and Recommendation: Our estimates are mostly in line with the company's guidance on double-digit growth for the MDF and Plywood segments. We reduce our PAT estimates to take into account new additional capex and interest expenses over the coming years. **We continue to value the stock at a 23x FY28E to arrive at a TP of Rs 330/share and maintain our BUY rating on the stock, implying an upside of 49% from CMP.**

Financial Performance

Greenply reported revenue of Rs 673 Cr, up 9.6% YoY, which slightly beats our estimates. The overall plywood demand scenario saw recovery for the quarter. Gross margins were flat at 41%. The reported EBITDA stood at Rs 59 Cr, with an EBITDA margin of 8.7%. The company reported PAT of Rs 14 Cr, down 41% YoY, mainly driven by one-time implementation of the new labour code, which incurred a cost of Rs 3.8 Cr. During the year, its MDF volumes saw growth of 14.5% YoY, whereas the plywood business saw a 13% YoY growth. Segment revenue for the Plywood business stood at Rs 502 Cr, up 7%YoY, and for the MDF business stood at Rs 152 Cr, up 12% YoY.

Key Financials (Consolidated)

(Rs Cr)	Q3FY26	QoQ (%)	YoY (%)	Axis Est.	Variance
Net Sales	673	-2.20	9.59	643	4.72
Adj. EBITDA	59	3.79	9.02	61	-3.56
EBITDA Margin	8.7%	51bps	-5bps	9.5%	-75bps
Net Profit	14	-10.30	-41.16	20	-28.94
EPS (Rs)	1.15	-13.66	-41.16	1.62	-28.94

Source: Company, Axis Securities Research

(CMP as of 05th February, 2026)

CMP (Rs)	221
Upside /Downside (%)	49%
High/Low (Rs)	352/215
Market cap (Cr)	2,751
Avg. daily vol. (1m) Shrs.	1,93,817
No. of shares (Cr)	12.5

Shareholding (%)

	Jun-25	Sep-25	Dec-25
Promoter	51.7	51.7	51.8
FIIs	4.5	4.5	4.3
MFs / UTI	31.0	30.9	30.6
Others	12.8	13.0	13.3

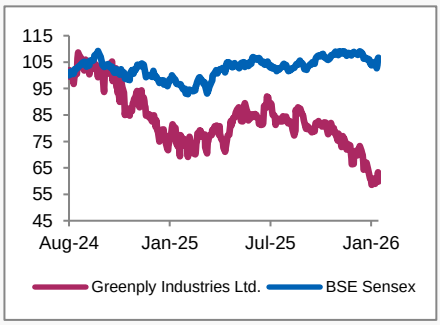
Financial & Valuations

Y/E Mar (Rs Cr)	FY26E	FY27E	FY28E
Net Sales	2,624	2,937	3,327
EBITDA	236	303	349
Net Profit	94	135	182
EPS (Rs)	8	11	15
PER (x)	38.23	26.66	19.72
EV/EBITDA (x)	13.69	13.87	14.97
P/BV (x)	3.98	3.46	2.95
RoE (%)	10	13	15

Change in Estimates (%)

Y/E Mar	FY26E	FY27E	FY28E
Revenue	-3%	-6%	-6%
EBITDA	-13%	-7%	-6%
PAT	-35%	-32%	-14%

Relative Performance



Source: Ace Equity, Axis Securities Research

Result Gallery

Q2FY26

Q1FY26

Eesha Shah
Research Analyst
eesha.shah@axissecurities.in

Key Concall Highlights

- **Demand environment**: Retail demand remains healthy, particularly in the mid-segment, aided by deeper dealer penetration and improved product availability.
- **Geographical focus**: MDF business continues to focus on Western India, where the company benefits from logistical advantages and relatively lower competitive intensity.
- **Capex and expansion:** The board approved Rs 425 Cr capex for a 700 CBM/day second MDF line with revenue potential of around Rs 600 Cr, expected to be commissioned by Q2FY28.
- **Debt position**: Net debt increased to Rs 528 Cr at the end of Q3 due to ongoing capex, with management guiding net debt to EBITDA to stay below 2x at peak levels.

Key Risks to Our Estimates and TP

- Muted plywood demand will be a key risk to the growth of the company moving forward.
- Weak domestic MDF pricing and increasing MDF competition can hamper Greenply's share in the market.
- Elevated timber prices will dampen the margin as the company may not be able to pass on the same to consumers.
- Price cuts by unorganised players will also hurt the company's bottom line.

Change in Estimates **(Rs Cr)**

	Revised			Old			% Change		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	2,624	2,937	3,327	2,717	3,114	3,526	-3%	-6%	-6%
EBITDA (Adj.)	236	303	349	272	327	370	-13%	-7%	-6%
PAT	94	135	182	144	197	211	-35%	-32%	-14%

Source: Company, Axis Securities Research

Q3FY26 Results Review **(Rs Cr)**

Particulars	Q3FY25	Q2FY26	Axis Sec Est (Rs Cr)	Q3FY26	% Change (YoY)	% Change (QoQ)	Variance (%)
Revenue	614	689	643	673	9.59	-2.2	4.7
Expenses:							
COGS	368	429	379	400	8.7	-6.6	5.5
COGS/Sales	1	1	1	1	-0.8	-4.5	0.8
Gross Profit	246	260	264	273	10.9	5.0	3.6
Gross Margin	40%	38%	41%	41%	1.2	7.4	-1.1
Employee Benefits Expense	81	90	84	90	11.3	0.4	8.0
Other Expenses	111	113	119	124	11.5	9.4	4.1
Other Expense/ Sales (%)	0	0	0	0	1.8	11.9	-0.6
Total Expense	560	632	582	614	9.6	-2.7	5.6
EBITDA	54	57	61	59	9.0	3.8	-3.6
EBITDA Margin	9%	8%	10%	9%	-0.5	6.1	-7.9
Depreciation & Amortisation Expense	15	16	16	17	10.0	4.8	4.8
EBIT	39	41	45	42	8.6	3.4	-6.5
Finance cost	5	13	13	10	92.6	-27.2	-27.2
Other Income	3	2	2	1	-60.6	-40.2	-40.2
EBT	37	29	34	34	-8.1	14.9	0.1
Share of (loss) of equity accounted investees	-3	-6	-6	-8	132.6	31.8	31.8
Profit Before Tax (PBT)	33	23	28	22	-33.9	-5.8	-20.6
Tax Expense	9	7	7	8	-13.7	3.9	2.0
Profit After Tax	24	16	20	14	-41.2	-10.3	-28.9

Source: Company, Axis Securities Research

Financials (Consolidated)

Profit & Loss

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Revenue	2,488	2,624	2,937	3,327
Growth (%)	14.1	5.5	12.0	13.3
EBITDA	238	236	303	349
EBITDA margin (%)	10	9	10	11
Growth (%)	27	-1	28	13
Depreciation & amortization	60	81	92	102
EBIT	194	171	227	264
EBIT margin (%)	7.8	6.5	7.7	7.9
Interest	43	52	59	33
Other income	16	16	16	16
Profit before tax	117	119	169	230
Total Tax	25	25	34	48
Profit After Tax	92	94	135	182
net margin (%)	3.7	3.6	4.6	5.5
EPS (Rs)	7	8	11	15
Growth (%)	31.12	2.56	43.40	35.17

Source: company, Axis Securities Research

Balance Sheet

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
EQUITY & LIABILITIES				
EQUITY				
Equity share capital	12	12	12	12
Other equity	796	891	1,025	1,208
Total Equity	809	903	1,038	1,220
Non-Current Liabilities				
Financial Liabilities	388	388	388	388
Other non-current liabilities	12	12	12	12
Total Non-Current Liabilities	400	400	400	400
Current Liabilities				
Financial Liabilities	718	614	666	730
Other Current Liabilities	26	26	26	26
Total Current Liabilities	744	640	691	755
Total Equity & Liabilities	**1,952**	**1,942**	**2,129**	**2,375**
APPLICATION OF FUNDS				
Non-Current Assets				
Net Fixed Assets	962	1,031	1,139	1,187
Financial Assets	67	67	67	67
Total Non-Current Assets	1,029	1,098	1,206	1,254
Current Assets				
Inventories	518	503	523	556
Financial Assets	356	292	351	516
Other current assets	49	49	49	49
Total Current Assets	923	845	923	1,121
Total Assets	**1,952**	**1,942**	**2,129**	**2,375**

Source: company, Axis Securities Research

Cash Flow

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
PBT	117	119	169	230
Depreciation	60	81	92	102
Others	84	0	0	0
Tax Paid	-29	-25	-34	-48
Changes in Working Capital	-13	-61	4	-12
Net Cash from Operations	219	114	231	273
Capex	-74	-150	-200	-150
Change in Investment	-76	0	0	0
Others	3	0	0	0
Net Cash from Investing	-147	-150	-200	-150
Change in debt	-43	0	0	0
Change in Equity	6	0	0	0
Others	-46	0	0	0
Net Cash from Financing	-83	0	0	0
Net Change in Cash	**-11**	**-36**	**31**	**123**

Source: company, Axis Securities Research

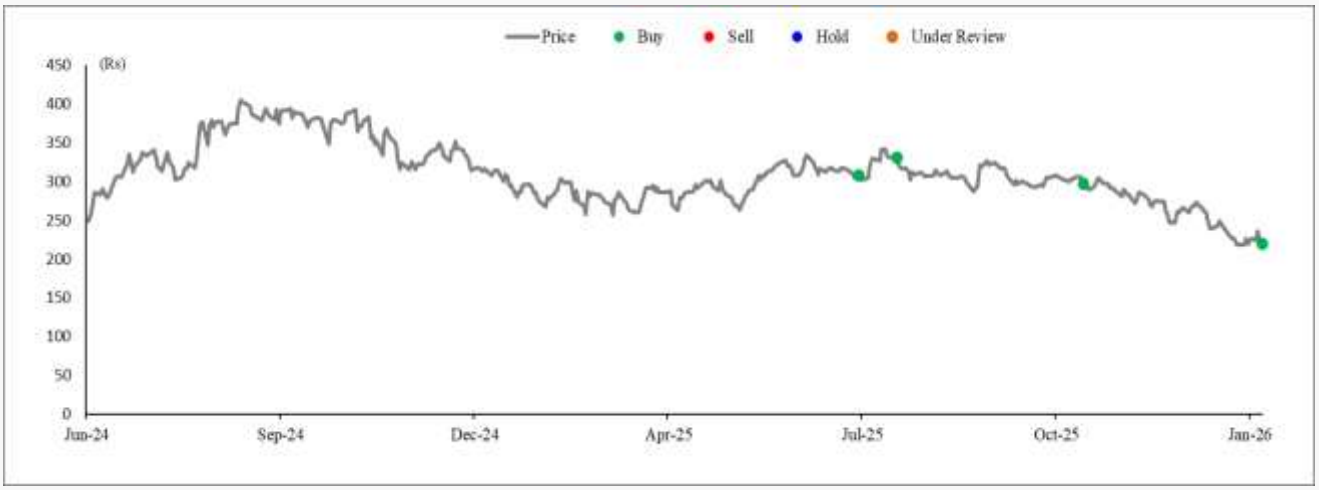
Ratio Analysis

(x) / (%)

Y/E Mar	FY25	FY26E	FY27E	FY28E
EBITDA Margin (%)	10	9	10	11
net margin (%)	4	4	5	5
Return on invested capital (%)	10	9	11	11
Return on equity (%)	11	10	13	15
EFFICIENCY RATIOS				
Fixed Asset Turnover	2.59	2.54	2.58	2.80
Debt to equity	0.60	0.54	0.47	0.40
Interest coverage	4.50	3.27	3.87	7.92
Debtor days	42	43	38	38
Inventory days	106	118	106	99
Payable days	107	112	95	94
PER SHARE DATA				
EPS (Rs)	7.35	7.53	10.80	14.60
Book value per share (Rs)	64.78	72.35	83.15	97.75
DPS (Rs)				
VALUATION RATIOS				
P/E	39.21	38.23	26.66	19.72
P/BV	4.45	3.98	3.46	2.95
EV/EBITDA	13.67	13.69	13.87	14.97

Source: company, Axis Securities Research

Greenply Industries Price Chart and Recommendation History



Date	Reco	TP	Research
11-Jul-25	BUY	385	Initiating Coverage
31-Jul-25	BUY	385	Result Update
06-Nov-25	BUY	385	Result Update
06-Feb-26	BUY	330	Result Update

Source: Axis Securities Research.

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Compliance Officer Details: Name – Mr Rajiv Kejriwal, Tel No. – 022-68555574, Email id – compliance.officer@axisdirect.in.;

Registered Office Address – Axis Securities Limited, Unit No.002, Building- A, Agastya Corporate Park, Piramal Realty, Kamani Junction, Kurla (W), Mumbai – 400070.

Administrative office address: Axis Securities Limited, Aurum Q Parć, Q2 Building, Unit No. 1001, 10th Floor, Level – 6, Plot No. 4/1 TTC, Thane – Belapur Road, Ghansoli, Navi Mumbai, Pin Code – 400710.

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